AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII

ANNUAL EXAMINATIONS (THEORY) 2025

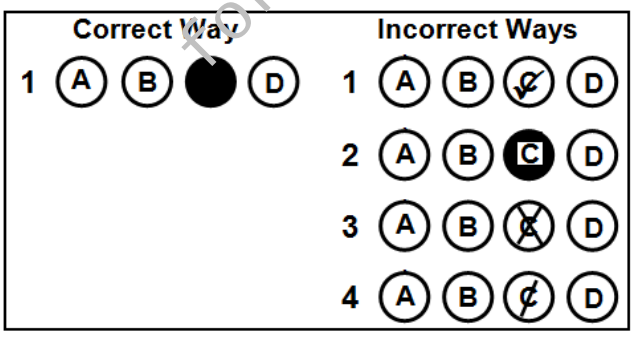
Principles of Accounting Paper I

Time: 1 hour 10 minutes Marks: 40

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. The following are the details related to a small business that maintains accounting records on single entry basis.

Account Title	**Amount (Rs)**
Capital at start	352,000
Net profit for the year	24,000
Drawings	16,000
Additional investment	140,000

From the given information, the amount of 'capital at the end' of the financial year would be

A. Rs 204,000
B. Rs 252,000
C. Rs 500,000
D. Rs 532,000

2. In a single entry accounting, the account that is prepared to calculate the amount of 'credit purchases' is

A. trade receivables (accounts receivable) account.
B. trade payables (accounts payable) account.
C. income and expenditure account
D. receipts and payments account.

3. The following payment transactions were listed in the books of Taha Traders.

I. Paid rent of the residential building of employees Rs 30,000
II. Purchased cookery items for a tea stall Rs 15,000
III. Paid medical expenses of employees Rs 35,000
IV. Paid salary of entrepreneur's personal driver Rs 25,000

While preparing the statement of the financial position for the business (balance sheet), the expenditure that would be classified under the account head of 'drawing' would be

A. II only.
B. IV only.
C. I and III.
D. II and IV.

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4. Amar is a small retailer and follows a single entry system. Information about the trade receivables (accounts receivable) is as under:

Account Title	Amount (Rs)
Credit sales	420,000
Sales returns	12,000
Discount allowed	3,500
Bad Debts (doubtful debts) written off	1,500
Trade receivables (accounts receivable) on January 01, 2022	260,000
Trade receivables (accounts receivable) on December 31, 2022	280,000

The total amount of cash received by Amar during the year ending December 31, 2022 would be

A. Rs 383,000
B. Rs 388,000
C. Rs 417,000
D. Rs 423,000

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(Note: Use the given information to answer **Q.5** and **Q.6**.)

Following are the cost and sales price for each cupcake baked by Student Bakery.

Particular	Amount (Rs)
Cost price	50
Sales price	80

5. With reference to the given figures, the margin percentage is

A. 12.5%.
B. 20.0%.
C. 37.5%.
D. 50.0%.

6. With reference to the given figures, the mark-up percentage is

A. 12.5%.
B. 30.0%.
C. 37.5%.
D. 60.0%.

7. The following account appeared in the financial records of Moon Hockey Club for the month ended July 30, 2020:

Receipt and Payment Account					
01.07.20	Balance B/d	5,000	05.07.20	Machine purchased	40,000
15.07.20	Subscription – 2019 (receivable)	3,000	10.07.20	Salaries to manager	6,000
20.07.20	Subscription – 2020	44,000	25.07.20	Printing and stationary	2,000
30.07.20	Subscription – 2021 (advance)	6,000			

Another name for the given account is

A. cash book.
B. statement of affairs.
C. statement of accumulated funds.
D. income and expenditure account.

8. In a statement of financial position of a non-profit organisation (NPO), year-end 'subscription in advance' is treated as

A. asset.
B. profit.
C. equity.
D. liability.

9. With reference to accounting for non-profit organisation (NPO), income and expenditure account, generally indicates

A. capital fund.
B. cash balance.
C. net profit/ loss.
D. surplus/ deficit.

10. With reference to accounting for non-profit organisation (NPO), an income and expenditure account is generated based on the accounting principle of

A. management basis.
B. accrual basis.
C. mixed basis.
D. cash basis.

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11. An accrued expense is shown in the income and expenditure account and statement of affairs as

	Income and Expenditure Account	Statement of Affairs
A	added to the expenditure side	added to the current assets
B	deducted from the expenditure side	deducted from the current assets
C	added to the expenditure side	added to the current liabilities
D	deducted from the expenditure side	deducted from the current liabilities

12. The following is the summary of receipt and payment account of Aliana Club for the month of January 2020.

Receipts		Payments	
Subscription	40,000	Depreciation expense	16,000
Donation	28,000	General expenses	4,500
Loan from bank	15,000	Utility bills	6,000
		Wages	7,300
		Rent	3,400

Additional information:

- 8% interest per annum on bank loan is due.
- General expense of Rs 2,000 is accrued.
- Prepaid wages amounted to Rs 1,800.

The amount of current assets and current liabilities that will be shown in the statement of affairs of the club as on January 31, 2020 would be

	Current Assets	Current Liabilities
A	Rs 3,200	Rs 1,800
B	Rs 47,600	Rs 2,100
C	Rs 49,000	Rs 1,800
D	Rs 1,800	Rs 2,100

13. Ambreen and Bushra have capital account balances of Rs 100,000 each. They share 60% and 40% profit and loss respectively. At the time of revaluation, the book value of firm's total asset was Rs 60,000 while they can only be sold for Rs 40,000.

What is the balance of Bushra's capital account after revaluation of firm's assets?

A. Rs 80,000
B. Rs 88,000
C. Rs 92,000
D. Rs 108,000

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14. Afshan and Ahsan are merging their running entrepreneurship businesses into a firm. The new firm will be formed on the basis of principle of equality of investment and returns.

    The following are the details of their assets and liabilities:

    Afshan contributes cash Rs 45,000, merchandise worth Rs 80,000 and bank loan Rs 10,000.
    Ahsan contributes cash Rs 55,000, merchandise worth Rs 48,000 and bank loan Rs 25,000.

    The net worth amount of capital for the partnership would be

    A. Rs 78,000
    B. Rs 115,000
    C. Rs 197,000
    D. Rs 230,000

15. Suppose if there is no clause with reference to 'interest on capital' in the partnership deed, then the rate of interest would be

    A. 6 % per annum.
    B. 12 % per annum.
    C. 14 % per annum.
    D. zero interest per annum.

16. With reference to partnership accounting, the transaction that would result in a direct 'debit(Dr)' to a 'partner's capital account' will be

    A. investment is made.
    B. capital is withdrawn.
    C. interest on capital is charged.
    D. asset is brought into business.

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17. The CORRECT general journal entry to transfer profit share of partners under the fluctuating method is

	Particulars	P.R.	Debit	Credit
A	Income summary		XXX	
	Current A/c partner A			XXX
	Current A/c partner B			XXX
B	Income summary		XXX	
	Capital A/c partner A			XXX
	Capital A/c partner B			XXX
C	Capital A/c partner A		XXX	
	Capital A/c partner B		XXX	
	Income Summary			XXX
D	Current A/c partner A		XXX	
	Current A/c partner B		XXX	
	Income summary			XXX

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(Note: Use the given information to answer **Q.18, Q.19, Q.20** and **Q.21.)**

Areej and Ayan were partners in a business with capital of Rs 80,000 and Rs 120,000. Their ratio for sharing profit and loss was 2:3.

(**Note:** Consider each MCQ independently when referring to the given information)

18. On April 01, 2023, Zara was admitted as a new partner of 1/3rd share by investing sufficient amount of cash.

In this scenario, the amount of investment made by Zara would be

A. Rs 150,000
B. Rs 120,000
C. Rs 100,000
D. Rs 90,000

19. On April 01, 2023, Zara was admitted as a new partner of 2/7th share. She invested cash Rs 100,000 with the condition that her capital will be credited with entire amount of her investment.

In the given scenario, the net amount of capitals of each partners after the admission of a new partner and with the adjustment of the amount of 'goodwill' would be

	Areej	**Ayan**	**Zara**
A	Rs 80,000	Rs 120,000	Rs 100,000
B	Rs 100,000	Rs 150,000	Rs 100,000
C	Rs 110,000	Rs 140,000	Rs 100,000
D	Rs 80,000	Rs 120,000	Rs 150,000

20. On April 01, 2023, Zara was admitted as a new partner of 2/5th share. She invested cash Rs 150,000 with the condition that the capital of the firm will be increased by the amount of her investment.

In the given scenario, with reference to the statement of financial position (balance sheet) of the business, the net amount of capitals of partner after the admission of Zara would be

	Areej	**Ayan**	**Zara**
A	Rs 85,000	Rs 125,000	Rs 140,000
B	Rs 80,000	Rs 120,000	Rs 150,000
C	Rs 76,000	Rs 114,000	Rs 160,000
D	Rs 84,000	Rs 126,000	Rs 140,000

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21. In connection to the previous condition of admission given in Q.20, the distribution of 'goodwill' after the admission of Zara would be

	Areej	Ayan	Zara
A	Rs 5,000	Rs 5,000	Nil
B	Rs 4,000	Rs 6,000	Nil
C	Nil	Nil	Rs 10,000
D	Rs 6,000	Rs 4,000	Rs 10,000

22. Shams and Qamar are partners in a firm having capital of Rs 300,000 and Rs 450,000 respectively. Tariq bought $2/5^{th}$ share of Shams by paying Rs 150,000 to him directly. Tariq also bought $1/9^{th}$ share from Qamar by directly paying him Rs 70,000.

After the admission of Tariq, the amount of capital of each partner that will be reflected in the statement of financial position (balance sheet) of the firm would be

	Capital - Shams	Capital - Qamar	Capital - Tariq
A	Rs 300,000	Rs 450,000	Rs 220,000
B	Rs 150,000	Rs 380,000	Rs 220,000
C	Rs 180,000	Rs 400,000	Rs 170,000
D	Rs 420,000	Rs 500,000	Rs 170,000

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23. Rehan, Rehana and Huzaifa are equal partners in a firm. The statement of the financial position (balance sheet) of the firm is as under:

Statement of Financial Position (Balance Sheet)			
Equipment	580,000	Trade (account) payables	75,000
Trade (account) receivables	150,000	Rehan - Capital	380,000
Cash	110,000	Rehana - Capital	420,000
Inventory	285,000	Huzaifa - Capital	250,000
	1,125,000		1,125,000

On March 31, 2020, after the agreement with the partners, Huzaifa retired from the firm.

If Huzaifa is paid Rs 280,000 from the resources of the firm, then under the goodwill method, the amount of capital of the firm after Huzaifa's retirement would be

A. Rs 800,000
B. Rs 860,000
C. Rs 1,050,000
D. Rs 1,140,000

24. Areej, Maheen and Shagufta are partners in a firm, sharing profit and loss equally. On June 30, 2024, they decided to liquidate their business. The realisation account after disposing off assets and liabilities was as under:

Realisation Account			
Trade receivables	210,000	Cash	160,000
Inventory	95,000	Cash	150,000
Furniture	245,000		

The journal entry that will be made to distribute the balance of the realisation is

	Particular	P.R.	Debit	Credit
A	Maheen's capital account		80,000	
	Areej's capital account		80,000	
	Shagufta's capital account		80,000	
	Loss on realisation			240,000
B	Loss on realisation		240,000	
	Maheen's capital account			80,000
	Areej's capital account			80,000
	Shagufta's capital account			80,000
C	Maheen's capital account		80,000	
	Areej's capital account		80,000	
	Shagufta's capital account		80,000	
	Gain on realisation			240,000
D	Gain on realisation		240,000	
	Maheen's capital account			80,000
	Areej's capital account			80,000
	Shagufta's capital account			80,000

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25. A financial entity that evaluates and bears risk for others in investments, loans, mortgages or insurance. They are key intermediaries in an IPOs, absorbing the risk of undersubscription by buying any remaining shares or debentures. In exchange, the issuing company pays them a commission based on the issue price.

With reference to the company's account, the given description is about a/ an

A. underwriter.
B. registrar.
C. solicitor.
D. agent.

26. Imran Limited issued 50,000 shares of Rs 10 at Rs 9 each.

The general entry that will be made to record the given issue of shares is

	Particular	P.R.	Debit	Credit
A	Bank		500,000	
	Share capital			500,000
B	Bank		500,000	
	Share discount			50,000
	Share capital			450,000
C	Bank		450,000	
	Share discount		50,000	
	Share capital			500,000
D	Bank		500,000	
	Share application			500,000

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27. Atlas motors allotted 15,000 shares @ Rs 25 against the purchase of machinery. The par value of shares was Rs 10.

The general journal entry for recording the given transaction would be

	Particular	P.R.	Debit	Credit
A	Machinery		375,000	
	Share premium (15 @ 15,000)			225,000
	Shares capital (10 @ 15,000)			150,000
B	Machinery		375,000	
	Share discount (15 @ 15,000)			225,000
	Shares capital (10 @ 15,000)			150,000
C	Share discount (15 @ 15,000)		225,000	
	Shares capital (10 @ 15,000)		150,000	
	Machinery			375,000
D	Share premium (15 @ 15,000)		225,000	
	Shares capital (10 @ 15,000)		150,000	
	Machinery			375,000

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28. Galaxy Limited offered 20,000 ordinary shares of par value of Rs 20 each to the general public at a premium of Rs 10 each. The bank informed that the applications for 22,000 shares have been received. The directors of the company finalised the allotment and intimated the bank to refund the excess money to the applicants.

The journal entry that will be made to record the refund of money would be

	Particular	P.R.	Debit	Credit
A	Bank		60,000	
	Share application account			60,000
B	Bank		40,000	
	Share application account			40,000
C	Share application account		60,000	
	Bank			60,000
D	Share application account		40,000	
	Bank			40,000

29. The unadjusted data of Anode Limited before charging provision (allowance) for bad debts (doubtful debt) is as under:

- Net profit Rs 324,500
- Net Trade receivables (accounts receivables) Rs 48,900

If the business decided to increase the provision (allowance) for bad debts (doubtful debt) by Rs 2,300, then the adjusted amount of net profit and net trade receivables (account receivables) as on December 31, 2024 would be

	Adjusted Profit	Net Trade Receivables (account receivables)
A	Rs 322,200	Rs 46,600
B	Rs 322,200	Rs 48,900
C	Rs 326,800	Rs 48,900
D	Rs 326,800	Rs 51,200

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30. Retained earnings is described as the

A. investment reserves for the company.
B. account that holds the additional income of the business.
C. claims of outsiders or external stakeholders of the company.
D. cumulative earnings of the company after paying the dividends and setting aside reserves.

31. The retained earning account of a company had an opening balance of Rs 160,000.

If there are no changes in retained earnings except for the net loss of Rs 16,000, then the ending balance of the retained earnings would be

A. Rs 16,000
B. Rs 144,000
C. Rs 160,000
D. Rs 176,000

32. The following details related to the profit and loss appropriation of Sunshine Private Limited are available for the year ended December 31, 2024.

Account Title	Amount (Rs)
Retained profit as on December 31, 2023	1,380,000
Net income after tax for the year ended December 31, 2024	358,000
Retained profit as on December 31, 2024	1,435,000

The decision of the directors related to the appropriation of profit is as under:

- Transfer to general reserve of Rs 80,000
- Transfer to specific reserve of Rs 110,000

From the given information, the amount of dividend that will be paid to the shareholders is

A. Rs 113,000
B. Rs 215,000
C. Rs 485,000
D. Rs 603,000

33. The following information is related to Tayeb Ltd.;

Retained earning (1-1-2024)	Rs 700,000
Net profit for the year	Rs 250,000
Cash dividend declared	Rs 40,000
Stock dividend declared	Rs 45,000

The retained earning balance of Tayeb Ltd. as on December 31, 2024 would be

A. Rs 910,000
B. Rs 865,000
C. Rs 800,000
D. Rs 763,000

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34. As per the international accounting standards (IAS) 7, the option that shows the CORRECT sequence of preparing a cash flow statement is

	First	Second	Third
A	operating activities	financing activities	investing activities
B	investing activities	operating activities	financing activities
C	financing activities	investing activities	operating activities
D	operating activities	investing activities	financing activities

35. A business sold a machine (non-current asset (fixed asset)) for Rs 200,000 on cash.

In the cash flow statement, the given transaction will be shown as an

A. inflow under investing activities.
B. outflow under investing activities.
C. inflow under financing activities.
D. outflow under financing activities.

36. The following details have been taken from the cash flow statement data of Shahid Limited for the year ended December 31, 2024.

Account Title	Amount (Rs)
Net cash flow from operating activities	30,000
Depreciation expense	3,000
Gain on disposal of non-current (fixed) assets	6,000
Increase in trade (account) receivables	4,500
Decrease in prepaid rent	3,500
Decrease in bank overdraft	2,000

From the given data, the amount of 'net profit before interest and tax (EBIT)' for Shahid Limited would be

A. Rs 15,000
B. Rs 18,000
C. Rs 24,000
D. Rs 36,000

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37. A business maintains its inventory at a lower cost or net realisable value.

The accounting assumption used by the business is known as the

A. cost principle.
B. prudence principle.
C. consistency principle.
D. business entity principle.

38. Salman opened a gift shop on April 01, 2022. During the year ended March 31, 2023, he purchased 12,000 gift items for a total of Rs 60,000. He then sold 9,000 gift items for Rs 8 each.

The amount of cost of sales (cost of goods sold) for Salman at the end of the year would be

A. Rs 15,000
B. Rs 45,000
C. Rs 72,000
D. Rs 96,000

39. Under FIFO (first in first out) method of inventory valuation, gross profit can be calculated as

A. net profit minus operating expenses.
B. sales revenue minus cost of purchases.
C. purchases during the year plus inventory at the start of the year minus inventory at end.
D. purchases during the year minus inventory at the start of the year plus inventory at end.

40. Anoosh Electronic deals in mobile phones. The business uses FIFO (first in first out) method under periodic inventory system. The records of the business show the following transactions for the month of December 2024

Date	Transaction
December 05	Purchased 9 phones @ Rs 15,000 each
December 10	Purchased 13 phones @ Rs 13,000 each
December 15	Sold 21 phones @ Rs 18,000 each
December 20	Purchased 7 phones @ Rs 14,000 each

If the balance of inventory on November 30, 2024 was 10 phones of Rs 9,000 each, then the quantity and the cost of the ending stock would be

	Quantity of Ending Stock	Cost of Ending Stock
A	18 units	Rs 241,000
B	8 units	Rs 111,000
C	18 units	Rs 111,000
D	8 units	Rs 241,000

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